OFFERING MEMORANDUM

EXECUTIVE SUMMARY

Congress Tower is a 148,000 square foot Class A office asset located in the Austin central business district, offered at $62,000,000, representing a 6.1% capitalization rate on in-place net operating income of $3,782,000. The property is 93% leased to a diversified roster of technology, legal, and financial services tenants with a weighted average lease term of 5.4 years.

INVESTMENT HIGHLIGHTS

The asset offers durable in-place cash flow with contractual three percent annual escalations across 87% of the rent roll. Below-market in-place rents average $39.50 per square foot against market asking rents of $46.00, creating a mark-to-market opportunity at rollover. Recent capital improvements total $4.2 million, including lobby renovation, elevator modernization, and a new rooftop amenity deck.

FINANCIAL OVERVIEW

In-place net operating income is $3,782,000 for the trailing twelve months. Year one pro forma NOI is projected at $3,950,000, growing to $4,610,000 by year five, driven by contractual escalations and lease-up of the remaining vacancy. Projected levered internal rate of return over a five-year hold is 14.2% assuming 60% loan-to-value financing at a 5.9% fixed rate.

TENANCY AND ROLLOVER

The three largest tenants are Lakeline Software (31,000 SF through 2030), Barton Legal Group (24,500 SF through 2029), and Hill Country Wealth Management (18,200 SF through 2027). Lease rollover is modest, with no more than 14% of rentable area expiring in any single year during the projected hold period.

RISK FACTORS

Prospective investors should consider downtown Austin office supply additions totaling 1.8 million square feet through 2027, potential moderation in technology sector demand, and rising insurance premiums. The largest tenant accounts for 22% of in-place base rent, and its 2030 expiration falls within a typical extended hold period.